

ter advantage in the market. He then becomes a hedger, but with an assured minimum profit instead of merely a minimum loss.

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The relation of these two operations is very prettily shown by the Southern Pacific situation last October. At that time any one could have sold a large quantity of stock and replaced it by the convertible 5 per cent bonds at apparently $\frac{1}{4}$ point cheaper. In reality, however, the adjustment of accrued dividend and interest on conversion would have made the bonds about $\frac{1}{4}$ point higher than the stock. The supply of bonds was forthcoming from specialists who had been able to sell stock on rallies, above the corresponding price of the five per cent bonds, and who were about to present the bonds for conversion. They of course were glad enough to obtain an extra $\frac{1}{4}$ point profit by buying the stock and selling the bonds instead of converting. As it turned out, the trader who took over the bonds on this basis would have fared better than the original owner, because on the subsequent break he could have bought back the stock and sold his bonds at a five points difference. This would have meant about $4\frac{1}{2}$ points "easy money" for a shrewd hedger.

Even experienced "hedge artists" often forego the chance of excellent profits because they wait in vain for the possibility of loss to be reduced to too small a figure. For example, in the ill-fated boom of Allied Packers stock last October, it sold at 66, while the convertible 6 per cent bonds were quoted at 91. Each \$1,000 bond was convertible at any time for thirteen shares of stock, so if bought at 91 they constituted a call on the stock at \$70 per share. The purchase of